AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX EXAMINATION

MAY 2014

Principles of Accounting Paper II

Time: 2 hours 25 minutes Marks: 50

INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are FIVE questions. Answer ALL questions.

3. When answering the questions:

   Read each question carefully.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

Q.1. (Total 8 Marks)

a. Give ONE example for any FOUR of the following terms. (4 Marks)

Asset _____

_____

Liability _____

_____

Capital _____

_____

Expense _____

_____

Revenue _____

_____

b. Fill the following grid with reference to the laws of Debit (Dr) and Credit (Cr). (4 Marks)

Transaction	Dr	Cr
Mr. Hammad purchases furniture for business office on cash.	**Office furniture or asset account**	**Cash**
Pays utility bills		
Purchases merchandise on account from Ali Sher Traders		
Sells goods to Mrs. Ahmed on credit		
Mr. Hammad pays his office rent		

Q.2. (Total 12 Marks)

a. Prepare general journal entries for the following transactions. (6 Marks)

1. Mr. Amin commenced a utility (grocery) store with Rs. 125,000 cash and store equipment Rs. 250,000.

2. Mr. Amin bought merchandise worth Rs. 20,000 from Al-Hamd Traders.

3. Mr. Amin purchased shopping bags and packing material for the store for Rs. 2,500.

4. Mr. Amin purchased an automatic cash sale counter machine for the store for Rs. 12,500.

5. Mr. Amin sold grocery goods to Mrs. Afshan on account for Rs. 15,000.

6. Mr. Amin withdrew merchandise worth Rs. 1,500 for personal use.

Date	Particular	P/R	Dr	Cr

b. Prepare the cost of goods sold from the following data. (6 Marks)

Particulars	Amount
Merchandise inventory (opening stock)	15,000
Merchandise inventory (closing stock)	25,000
Purchases	145,000
Purchase returns	11,500
Goods transportation charges	4,500
Sales	215,000
Sales returns	15,000
Sales discount	1,200

Q.3. (Total 10 Marks)

a. Post the following transactions in the below cash book of Mr. Amin. (5 Marks)

1. Cash sales Rs 5,000.
2. A customer directly deposited Rs. 15,000.
3. Received a cheque from Mr. Basit, a customer, of Rs. 5000.
4. Cheque issued of Rs.15,000 to Irfan Traders for the goods supplied.
5. Paid labour charges Rs. 500.

Cash Book									
Dr.									**Cr.**
Date	**Particulars**	**L/F**	**Cash**	**Bank**	**Date**	**Particulars**	**L/F**	**Cash**	**Bank**

b. Explain how a petty cash book can be established and replenished through the general journal entries. (5 Marks)

_____

_____

_____

_____

Date	Particular	P/R	Dr	Cr

Date	Particular	P/R	Dr	Cr

Q.4. (Total 8 Marks)

a. The following are the transactions of Akber Traders for the month of December 2013. (4 Marks)

Credit sales for the month	Rs. 150,000.
Sales returns	Rs. 10,000.
Sales discount	Rs. 7,000.
Purchase returns	Rs. 2,000.

Record the above transactions in the below sales ledger control account and calculate the closing balance.

Sales Ledger Control Account			

b. Following are the transactions of Sajjad Traders for the month of December 2013. (4 Marks)

Credit purchases for the month	Rs. 85,000.
Purchased returns	Rs. 5,000.
Purchased discount	Rs. 2,000.
Sales discount	Rs. 1,000.

Record the above transactions in the below purchase ledger control account and calculate the closing balance.

Purchases Ledger Control Account			

Q.5. (Total 12 Marks)

a. Mr. Karim purchases a machine for Rs. 200,000. He uses 20% diminishing balance method for the calculation of depreciation. Calculate the depreciation in the following table. (6 Marks)

Particulars	**Year 1**	**Year 2**	**Year 3**	**Year 4**
Cost of machine				
Accumulated depreciation				
Book value				

b.

Scenario 1. Mr. Danish increases provision for doubtful debts by Rs. 3,000. What would be the general journal entry to record it. (2 Marks)

Scenario 1

Date	Particular	P/R	Dr	Cr

Scenario 2. Mr. Yawar decreases provision for doubtful debts by Rs. 2,000. What would be the general journal entry to record it. (2 Marks)

Scenario 2

Date	Particular	P/R	Dr	Cr

Scenario 3. Mr. Fareed write-off bad debts of Rs. 500. What would be the general journal entry to record it. (2 Marks)

Scenario 3

Date	Particular	P/R	Dr	Cr

END OF PAPER

Please use this page for rough work

Please use this page for rough work